Conflict of Interest Policy

I. Introduction

It is in the best interest of The Community Foundation for the Fox Valley Region, Inc. ("Foundation") to be aware of and properly manage all conflicts of interest and appearances of a conflict of interest. This conflict-of-interest policy is designed to help directors, committee members, officers, employees and volunteers ("Covered Persons") of the Foundation identify situations that present potential conflicts of interest and to provide the Foundation with a procedure to appropriately manage conflicts in accordance with legal requirements and the goals of accountability and transparency in the Foundation's operations.

Supporting organizations established under the Foundation will adhere to the policy described within this document unless specifically exempted by the supporting organization's board of directors approving a separate policy.

II. General Policy

Anyone making decisions on behalf of the Foundation should always act based on the best interests of the Foundation, and no individual associated with the Foundation should use their position for personal benefit, for the benefit of friends or relatives, or to further any outside interest or personal agenda. This standard applies to all transactions and decisions, whether or not expressly covered by the Policy.

III. Conflict of Interest Defined

In this policy, a person with a conflict of interest is referred to as an "interested person." For purposes of this policy, the following circumstances shall be deemed to create a Conflict of Interest:

a. A director, officer, employee or volunteer, including a board member (or family member of any of the foregoing) is a party to a contract, or involved in a transaction with the Foundation for goods or services.

b. A director, officer, employee or volunteer, (or a family member of any of the foregoing) has a material financial interest in a transaction between the Foundation and an entity in which the director, officer, employee or volunteer, or a family member of the foregoing, is a director, officer, agent, partner, associate, employee, trustee, personal representative, receiver, guardian, custodian, or other legal representative.

c. A director, officer, employee or volunteer, (or a family member of the foregoing) is engaged in some capacity or has a material financial interest in a business or enterprise that competes with the Foundation.

Gifts, Gratuities and Entertainment: Accepting gifts, entertainment or other favors from individuals or entities can also result in a conflict or duality of interest when the party providing the

gift/entertainment/favor does so under circumstances where it might be inferred that such action was intended to influence or possibly would influence the interested person in the performance of his or her duties. This does not preclude the acceptance of items of nominal or insignificant value or entertainment of nominal or insignificant value which are not related to any particular transaction or activity of the Foundation.

IV. Definitions

a. A "Conflict of Interest" is any circumstance described above.

b. A "Potential Conflict" exists whenever the personal, professional or financial interest of an Interested Person is opposed to that of the Foundation, or when such an interest or any conflicting fiduciary duty might influence the Interested Person's actions and judgment on behalf of the Foundation. A Potential Conflict also exists when there is an appearance that an Interested Person's actions may be influenced by a competing interest or duty.

c. An "Interested Person" is any person serving as an officer, employee, member of the Board of Directors or committee of the Foundation or a major donor to the Foundation or anyone else who is in a position of control over the Foundation who has a personal interest that is in conflict with the interests of the Foundation.

d. A "Family Member" is a spouse, parent, child or spouse of a child, brother, sister, or spouse of a brother or sister, of an interested person.

e. A "Material Financial Interest" in an entity is a financial interest of any kind, which, in view of all the circumstances, is substantial enough that it would, or reasonably could, affect an Interested Person's or Family Member's judgment with respect to transactions to which the entity is a party.

f. A "Contract or Transaction" is any agreement or relationship involving the sale or purchase of goods or services, the providing or receipt of a loan or grant, the establishment of any other type of financial relationship, or the exercise of control over another organization. The making of a gift to the Foundation is not a Contract or Transaction.

V. Procedures

a. Prior to board or committee action on a Contract or Transaction involving a Conflict of Interest, a director or committee member having a Conflict of Interest and who is in attendance at the meeting shall disclose all facts material to the Conflict of Interest. Such disclosure shall be reflected in the minutes of the meeting. If board members are aware that staff or other volunteers have a conflict of interest, relevant facts should be disclosed by the board member or by the interested person themselves if invited to the board meeting as a guest for purposes of disclosure.

b. A director or committee member who plans not to attend a meeting at which he or she has reason to believe that the board or committee will act on a matter in which the person has a Conflict of Interest shall disclose to the chair of the meeting all facts material to the Conflict of Interest. The chair shall report the disclosure at the meeting and the disclosure shall be reflected in the minutes of the meeting.

c. A person who has a Conflict of Interest shall not participate in or be permitted to hear the board's or committee's discussion of the matter except to disclose material facts and to respond to questions. Such person shall not attempt to exert their personal influence with respect to the matter, either at or outside the meeting.

d. A person who has a Conflict of Interest with respect to a Contract or Transaction that will be voted on at a meeting shall not be counted in determining the presence of a quorum for purposes of the vote. Such person's ineligibility to vote shall be reflected in the minutes of the meeting. For purposes of this paragraph, a member of the Board of Directors of the Foundation has a Conflict of Interest when they stand for election as an officer or for re-election as a member of the Board of Directors.

e. Interested Persons who are not members of the Board of Directors of the Foundation, or who have a Conflict of Interest with respect to a Contract or Transaction that is not the subject of Board or committee action, shall disclose to their Executive Leadership Team ("ELT") member, CFO, or President / CEO any Conflict of Interest that such Interested Person has with respect to a Contract or Transaction. Such disclosure shall be made as soon as the Conflict of Interest is known to the Interested Person. The Interested Person shall refrain from any action that may affect the Foundation's participation in such Contract or Transaction.

In the event it is not entirely clear that a Conflict of Interest exists, the individual with the potential conflict shall disclose the circumstances to their Executive Leadership Team ("ELT") member, CFO, or President / CEO, Board or Committee Chair who shall determine whether full board discussion is warranted or whether there exists a Conflict of Interest that is subject to this policy.

VI: Review and maintenance of Policy

a. Each Covered Person shall be provided with a copy of this Policy and the applicable disclosure form for completion within 30 days of receipt.

b. Annually thereafter, each Covered Person shall complete a disclosure form identifying any relationships, positions or circumstances in which they are involved that they believe could contribute to a Conflict of Interest. Such relationships, positions or circumstances might include service as a director of or consultant to another nonprofit organization, or ownership of a business that might provide goods or services to the Foundation. Any such information regarding the business interests of a Covered Person, or a Family Member thereof, shall be treated as confidential and shall generally be made available only to the Chair, CFO, or President/ CEO, except to the extent

additional disclosure is necessary in connection with the implementation of this Policy.

c. Each Covered Person is also asked to update their disclosure form outside of the annual disclosure process in the event that their circumstances, position(s), or financial interests have changed.

d. This policy shall be reviewed annually by the Board of Directors. Any changes to the policy shall be communicated to all Covered Persons.

Failure to comply with the above within 30 days of receipt, will result in being disqualified from participation. Disqualification from participation includes any and all access pertaining to the Covered Persons official capacity as a Covered Person. Failure to comply with the annual conflict of interest disclosure process within 60 days of receipt may result in removal from the Covered Person position.

Examples of Appropriate Actions Under This Policy

Example 1. An officer or other paid employee of a bank or other financial institution who is also a board or investment committee member of the Foundation should inform the President/CEO or chair of the board of their potential conflict of interest and abstain from discussing or voting on the retaining, employing or dismissing of their financial institution as an investment manager of the Foundation.

Example 2. A board or grants committee member who is also a board, staff or committee member of a proposed grantee should inform the lead staff member or chair of the board or committee of their conflict of interest and abstain from voting on or discussing any motion for or against the proposed grant, except as expressly requested by the chair to provide factual information or answer factual questions that would be useful to the board or committee in making its decision. If several grants are being voted upon concurrently, the Board or committee member must communicate their conflict of interest to the lead staff member or chair before the vote so that the member may be dismissed and a vote on the grant with which there is a conflict may be taken separately.

Example 3. A board or committee member whose personal financial interests could be positively or adversely affected by the Foundation's accepting, holding or disposing of a particular gift from a donor or by knowledge of the gift should inform the President/CEO or chair of his or her potential conflict of interest; refrain from seeking, obtaining or reviewing non-public information about the gift; and abstain from discussing or voting on acceptance of the gift.